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Illustration 5

Thmizhanban started book selling business on 1st January, 2018. Following are the transactions took place in his business for the month of January, 2018. Pass journal entries and prepare ledger accounts.

2018

Jan. 1 Started business with cash ` 3,00,000

2 Opened bank account by depositing ` 2,00,000

5 Goods bought from Tamilnadu Textbook Corporation for cash ` 10,000

15 Sold goods to MM Traders for cash ` 5,000

22 Purchased goods from X and Co. for ` 15,000 and the payment is made through net banking.

25 Sold goods to Y and Co. for ` 30,000 and the payment is received through NEFT

Solution

In the books of Thamizhanban

Journal entries

Date	Particulars	L.F.	Debit `	Credit `
2018				
Jan. 1	Cash A/c Dr.		3,00,000	
	To Thamizhanban's capital A/c			3,00,000
	(Started business with cash)			
2	Bank A/c Dr.		2,00,000	
	To Cash A/c			2,00,000
	(Cash deposited with the bank)			
5	Purchases A/c Dr.		10,000	
	To Cash A/c			10,000
	(Goods purchased for cash)			
15	Cash A/c Dr.		5,000	
	To Sales A/c			5,000
	(Goods sold for cash)			
22	Purchases A/c Dr.		15,000	
	To Bank A/c			15,000
	(Goods purchased and payment made through net banking)			
25	Bank A/c Dr.		30,000	
	To Sales A/c			30,000
	(Goods sold and the payment is received through NEFT)			